



OKTO, COINDCX'S LATEST DISRUPTIVE MOVE TO BRING DEFI TO THE MASSES



According to the 2022 Geography of Cryptocurrency report from Chainalysis, India ranks number one in DeFi protocol adoption. What do you think has accelerated this growth?

As per a recent study by Chainalysis, India boasts a commanding 59% stake in decentralized finance (DeFi) platform usage. This surge in engagement can be ascribed to the significant number of early crypto adopters in the country who possess a sound understanding and recognition of the long-term potential of virtual digital assets. Additionally, with a growing trend towards self-custody and centralized platforms facing a trust deficit, more and more users are turning to the benefits of peer-to-peer financial ecosystems backed by smart contracts.

While these factors are propelling modern-day investors to delve into investment prospects in the DeFi sphere, the space has observed exponential growth in recent years, offering cutting-edge financial products and services.

What are the drivers and barriers of DeFi and self-custody wallets in general?

The main value proposition of DeFi is democratization

and the absence of centralized intermediaries. It is distinct from traditional finance in its decentralized and permissionless approach to financial services delivery. For instance, DeFi offers automated market making (AMM) to all investors, which enables them to trade digital assets using liquidity pools. This feature is typically only available to institutional players in CeFi. With no entry barriers, anyone can easily borrow, lend, swap assets, save and earn interest on their crypto holdings.

The transparency and efficiency provided by blockchain technology, coupled with the failure of centralized crypto exchanges in 2022, has led to an increase in users shifting their volumes to DeFi platforms. This has resulted in a surge of interest in DeFi protocols and self-custody wallets. Self-custody provides users with full control over their funds, reducing the risk of seizure in case of bankruptcy or other risks.

The main challenges facing DeFi's mainstream adoption are usability, discovery and security. The dispersed nature of Web 3 use cases across multiple chains makes it difficult for potential investors and enthusiasts to navigate and understand the discovery process. Additionally, many us-